

ELEMENTS

Momentum indicator mainly has two elements. First is the time frame and second is the momentum indicator line itself. We have to define a fixed time frame for which we intend to calculate the indicator. This has to be defined as several candles and we can use short term or long term periods of time.

TRADING SYSTEM

The momentum indicator can be used to generate buy and sell signals whenever it crosses the zero level. The change in the indicator from positive to negative is a change in the trend from bearish to bullish and this can be considered as a buy signal. Whenever the indicator turns negative from positive, it can be treated as a change in trend from bullish to bearish and a sell signal. However, the momentum indicator does not give the best of signals by itself as it crosses the zero line way too often. Also, it does not work in a sideways market as the line revolves around zero in many ways. So, it is best used in combination with other indicators.

SUITABILITY

We can use momentum indicator for any asset – large-cap, indices, small-cap and mid-cap. We can use these for commodities and currencies and other advanced assets and derivatives too.

